ESBM 3700
ENTREPRENEURIAL ENVIRONMENTS

LECTURE 12
CHOOSING YOUR COMPETITION

University of Colorado **Boulder**


ENTREPRENEURIAL STRATEGY:
THESE CHOICES MATTER
CHOOSE YOUR STRATEGY
CHOOSE YOUR CUSTOMERS
CHOOSE YOUR TECHNOLOGY
CHOOSE YOUR COMPETITION
CHOOSE YOUR ORGANIZATION
VALUE CREATION HYPOTHESIS
VALUE CAPTURE HYPOTHESIS

Our path

Module 1	Module 2	Module 3
Entrepreneurial Mindset	Choosing Your Customer	Disruption Strategy
Ideas to Opportunities	Choosing Your Technology	Intellectual Property Strategy
Business Models	Choosing Your Identity	Value Chain Strategy
Sources of Funding	Choosing Your Competition	Architectural Strategy
Lean Startup	Quiz	Bonus: Startup Failure
Lean Startup Exercise		Bonus: Shark Tank
Venture Pitching		Final Exam

How can you choose among alternative entrepreneurial commercialization strategies?

Creative Destruction

- **Creative destruction** refers to the process by which new innovations **disrupt** and ultimately **replace** outdated or less efficient systems, products, and business models.

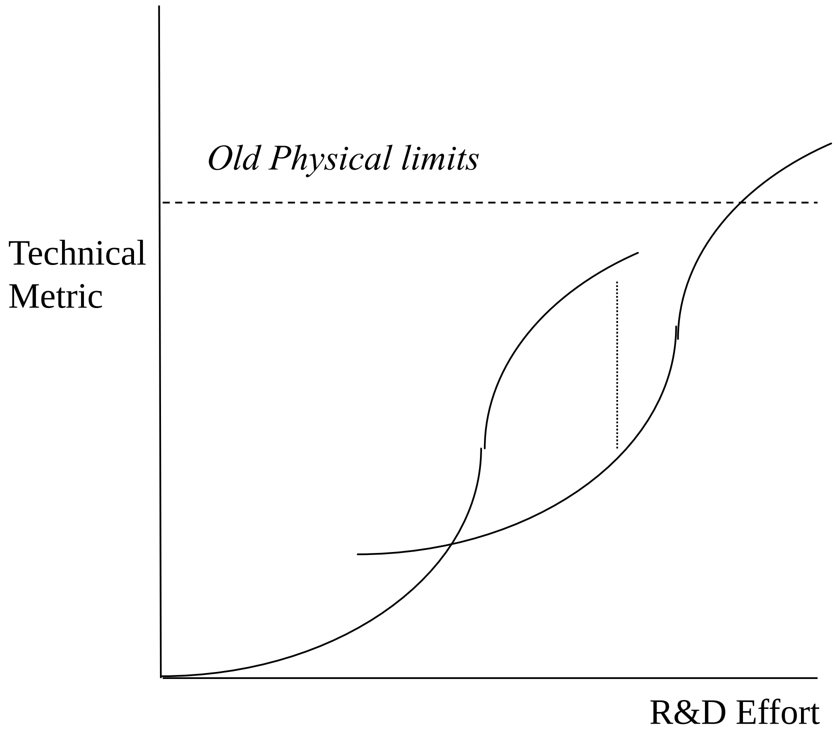
- **Origin:**
  Coined by economist Joseph Schumpeter in 1942, describing capitalism's cyclical nature, where economic transformation is driven by innovation.

- Progress involves breaking down existing structures to make way for new, more advanced ones.

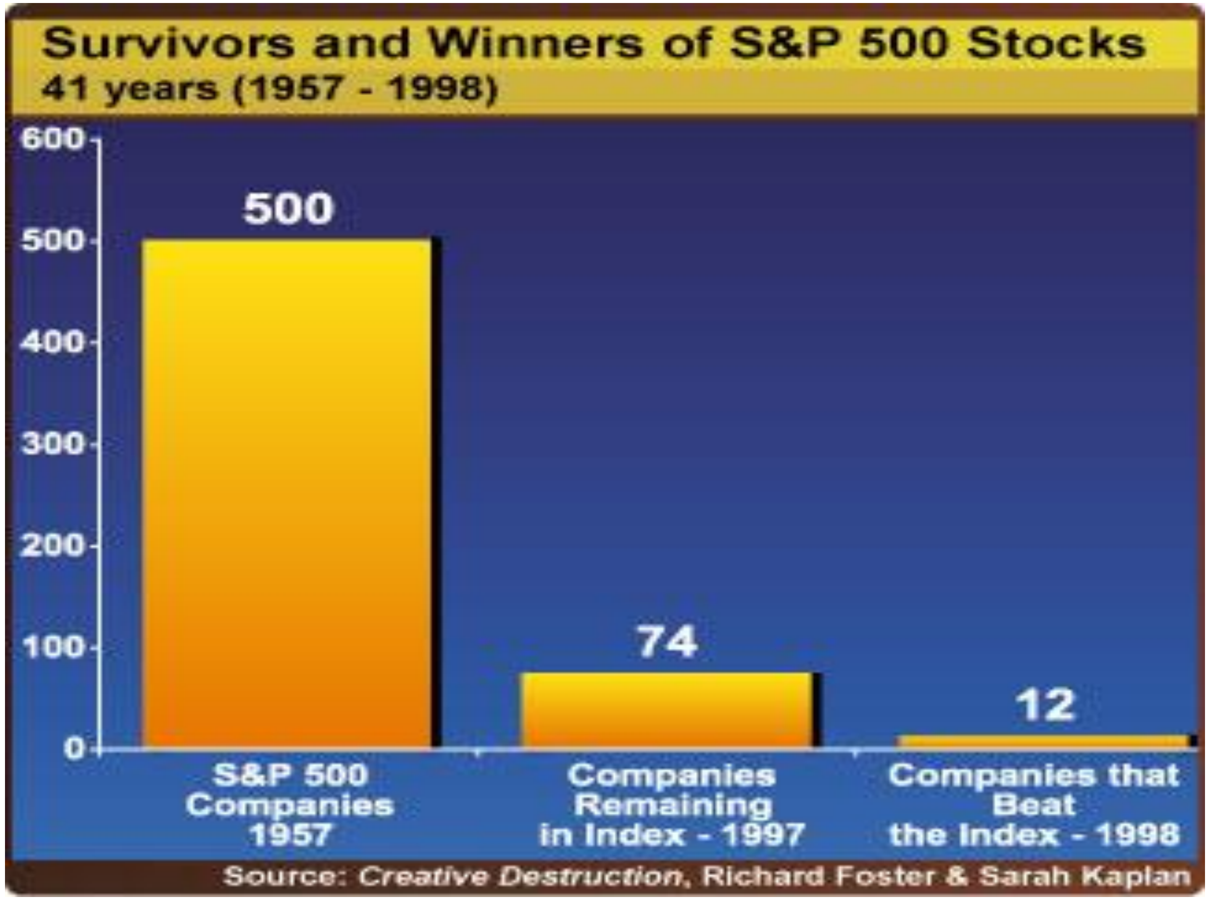

Many industries are marked by the “gale of Creative Destruction”

Remember Technology S-Curves?

Early R&D: Full of challenges—many failures, dead-ends, and competing ideas.
Key decisions: Once the best approach is chosen, R&D becomes more productive and focused.
Fewer barriers: Progress improves with fewer obstacles as direction becomes clearer.
Physical limits: As technology develops, it sometimes reaches physical limits, making it harder to continue improving without finding new breakthroughs (new S-curve).



Over the “medium-long” term, only a small fraction of established companies survive (< 20% over a 40-yr period), and only a tiny fraction realize superior performance (< 3%)



Disruptive strategies

- Keep in mind that full-fledged disruption **rarely** occurs.
- Disruption strategies often erode market share and profits from established players without fully replacing them. The original industry still exists but with diminished influence.
- But even if the market leader remains, a **noticeable shift in market share** or **declining profits** suggests that new entrants are successfully **altering the competitive landscape**.
- The entry of disruptive players forces the original industry to **adapt**—often resulting in improved services, lower prices, or a shift in strategy, even if full replacement doesn't occur.

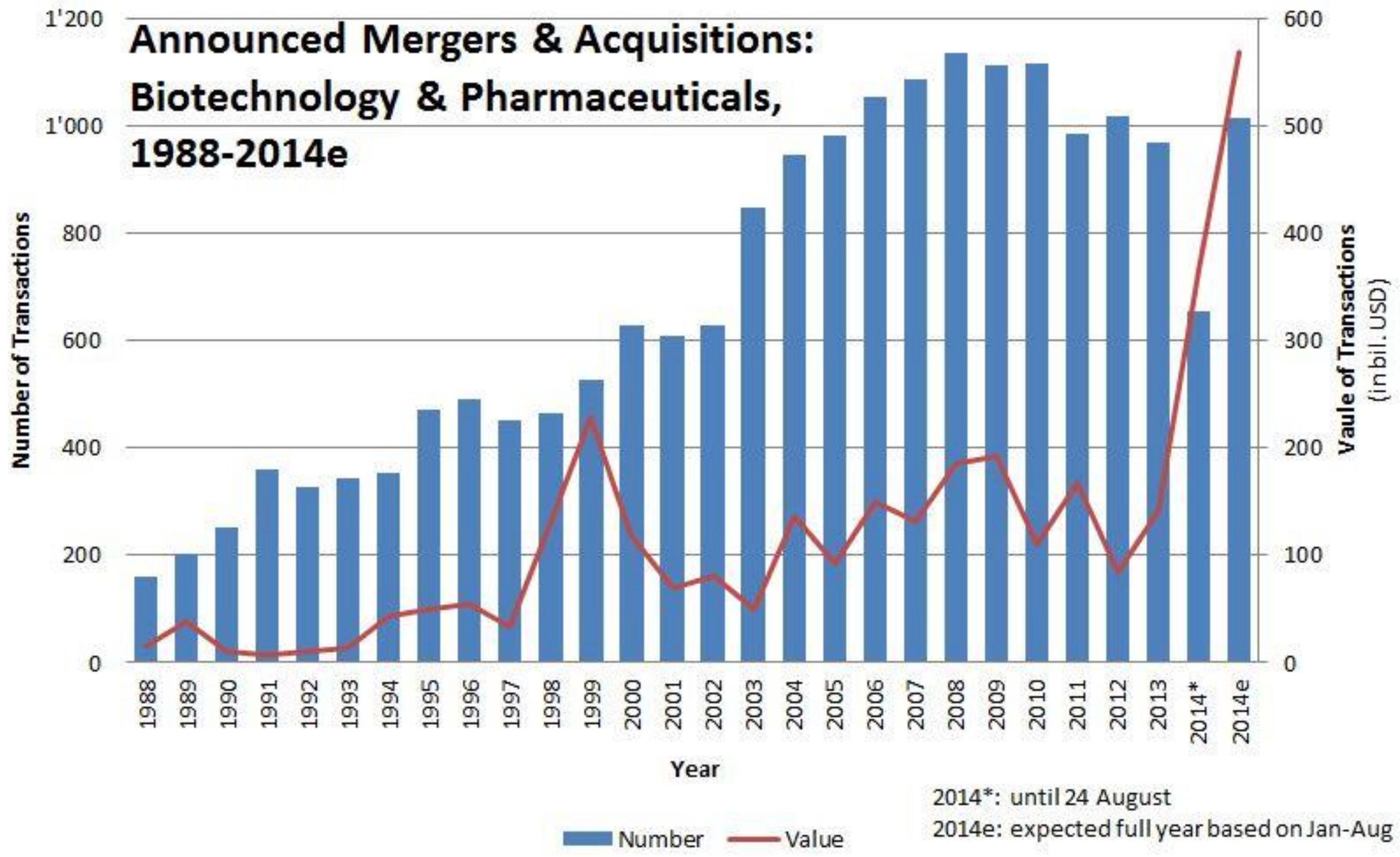
Does entrepreneurial strategy always depend on disruptive competition with established players?

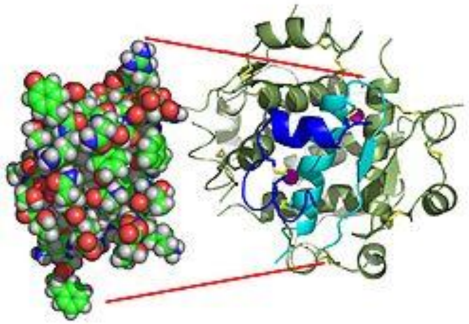
A key alternative: *cooperation* as a start-up commercialization strategy

- While disruption often aims to challenge and replace existing market leaders, **cooperation** focuses on **partnering with established players** to bring new innovations to market. This strategy leverages existing infrastructure, expertise, and market reach.

- Start-ups can form alliances with larger, established companies to:
  - Gain access to distribution networks and customers.
  - Share research and development resources.
  - Enhance credibility and market acceptance.

Biotech commercialization tends to be realized through collaboration with Big Pharma





Technology Control

- To successfully cooperate with larger firms or established players, start-ups must have a **strong control of their technology**. This ensures they can negotiate from a **position of strength** and **protect their intellectual property**.

Two broad dimensions for choosing with whom and how you compete:

Control vs. Execution

(staying close to technology) vs. (staying close to market)

Competition vs. Collaboration

(trying to replace incumbents) vs. (trying to work with incumbents)

Control vs. Execution

Benefits of control

- **Enhancing the potential for value capture:** When a company controls its technology, it can keep more of the profits or benefits that come from using or selling the technology.
- **Anchoring the identity of the organization:** Having control over technology ensures that the company doesn’t lose its unique identity when working with other businesses.
- **Creating a foundation for sustainable competitive advantage:** By controlling its technology, a company can create an advantage that is hard for competitors to copy.

Benefits of execution

- **Speed:** Execution helps to bring new products or ideas to market faster than competitors.
- **Enhancing the potential for value creation:** By focusing on execution, a company can improve its ability to create valuable products or services that benefit customers and increase its overall success.
- **Adapting through learning and experimentation:** Strong execution allows a company to learn from its mistakes and experiments, helping it adapt and improve over time.

Collaboration vs. Competition

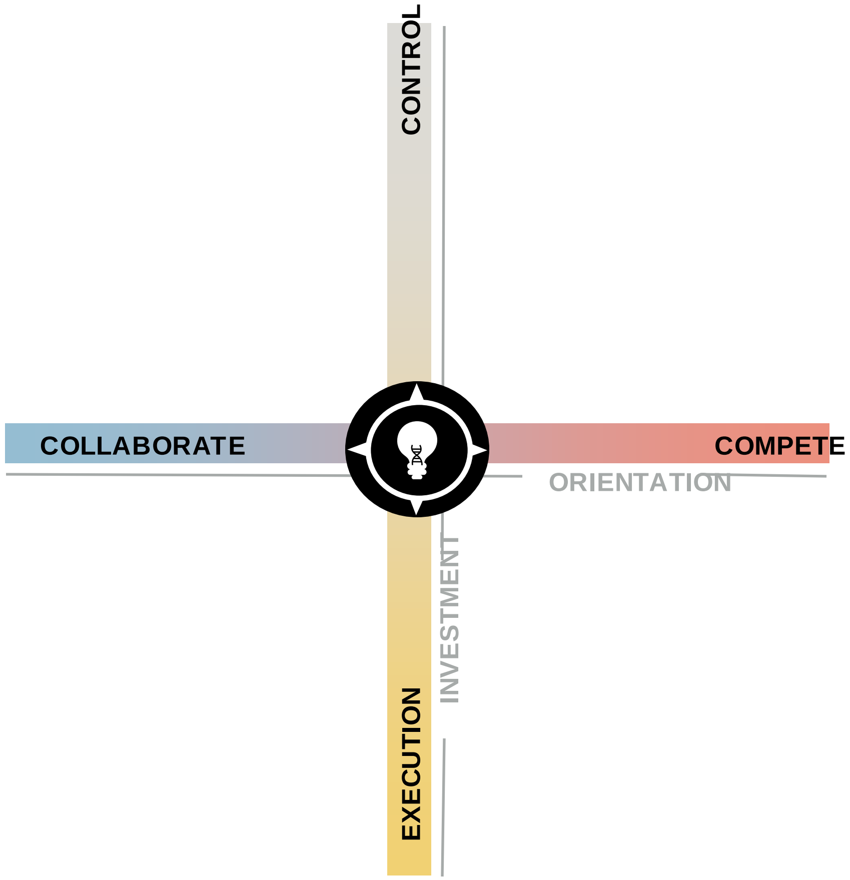
Benefits of collaboration

- **Enhancing value creation through partnerships:** Working together with other companies allows businesses to combine their strengths, leading to better products or services and more value for customers.
- **Leveraging existing capabilities and accessing existing customers:** Collaboration lets companies take advantage of the skills, resources, and customer base that their partner already has, making it easier to grow without starting from scratch.
- **Muting competitive pressure:** By teaming up with other businesses, companies can reduce competition. Instead of competing directly, they can share the benefits and avoid fighting over the same market.

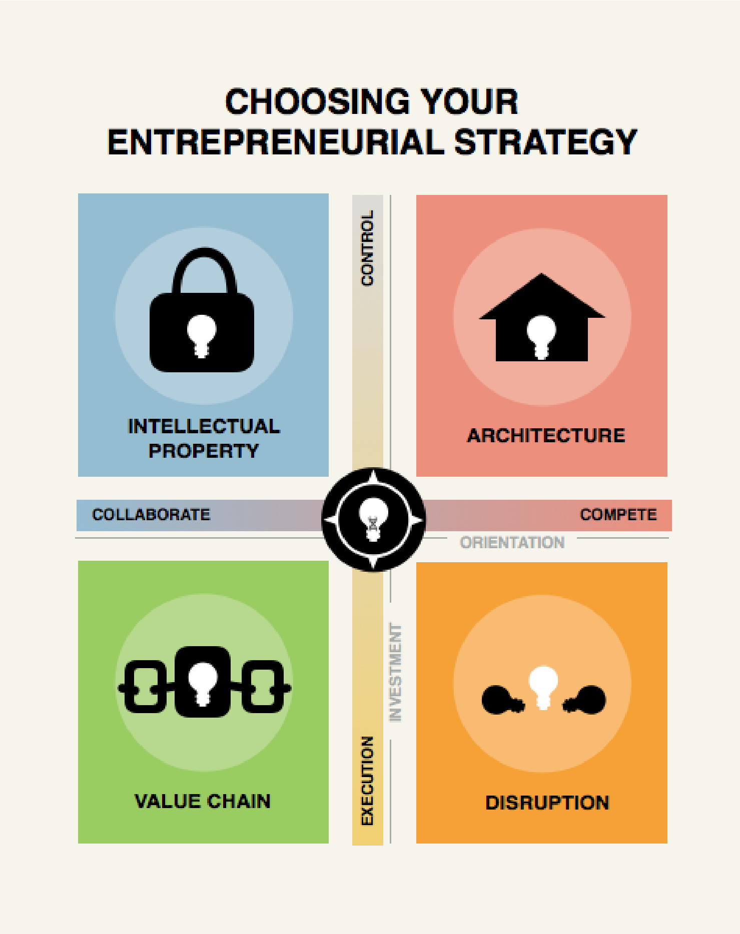
Benefits of competition

- **Enhancing value creation through a novel value chain:** Competition pushes companies to create new ways of doing things, which can lead to more value for customers and new opportunities for the business.
- **Creating new capabilities and service new customers:** Competing in the market encourages companies to develop new abilities and serve customers they didn't reach before, helping them grow and expand.
- **Establishing independent bargaining power:** Competition allows companies to stand on their own, giving them more control and power in negotiations with other businesses or partners.

For a given idea, consider your choice of with whom to compete and how to compete…



Choosing your entrepreneurial strategy



THANK YOU!